Intel (INTC): Hold — Valuation Concerns

Analyst: Justin Wen

The turnaround is real, but the math fails at $98. After a roughly 170% twelve-month rally, the market prices a 31.3% five-year revenue CAGR, double our bull case, even after we normalized beta to the semiconductor industry average. We see 66% downside to our $33.54 base case.

Hold — Valuation Concerns	$33.54	$98.44	-66%
RATING	BASE TARGET (BLENDED $33.74)	SPOT (OCT 14, 2026)	DOWNSIDE TO BASE

$28.19 / $39.68	9.44%	31.3%	$15B+	18%	1.30
BEAR / BULL TARGETS	LIVE WACC	MARKET-IMPLIED 5-YR CAGR	IFS BACKLOG	2031 FCF MARGIN	NORMALIZED BETA

Executive summary

We update Intel to **Hold — Valuation Concerns** with a $33.54 base-case target (blended $33.74). Let us be clear about what this is not: it is not a call on the turnaround. Q2 revenue grew 25% year over year, 18A entered high-volume manufacturing, the foundry backlog exceeds $15 billion with AWS, Microsoft, and Apple attached, and the balance sheet was fortified with a $23 billion August equity raise. The operational progress under Lip-Bu Tan is genuine.

It is a call on price. At $98.44, Intel trades at a $520 billion market cap, up roughly 170% in twelve months. Our five-year DCF, underwriting revenue CAGRs of 5% / 10% / 15% with free cash flow margins normalizing from 5% to 18%, discounted at a live 9.44% WACC, yields Bear $28.19, Base $33.54, Bull $39.68. The single biggest change from our prior note: we normalized Intel's 2.30 live beta to 1.30, the semiconductor industry average. The old beta was statistical noise, not structural risk, and it was punishing every scenario. Normalization cut the WACC from 12.6% to 9.44% and lifted every target roughly 40%.

> **Our read:** the reverse DCF is the whole thesis. To justify $98.44, the market must believe Intel compounds revenue at **31.3%** for five straight years, taking revenue from $63 billion to $246 billion. That is double our 15% bull case. Turnarounds deserve a premium. They do not deserve fantasy.

Base-case assumptions

INPUT	BEAR	BASE	BULL
Revenue CAGR, 2026-31	5.0%	10.0%	15.0%
2031 FCF margin	18%	18%	18%
2031 FCF ($B)	14.5	18.3	22.8
Target per share	**$28.19**	**$33.54**	**$39.68**

WACC 9.44% live (normalized 1.30 beta x live implied ERP; debt at 10Y + 150bp, 16% tax). Terminal growth 2.5%. Net cash $2.2B (incl. est. August offering proceeds); 5,285M diluted shares (post-offering).

A note on the discount rate. Our prior model discounted at 12.6%, driven almost entirely by a 2.30 live beta against the implied ERP. That beta is statistical noise from a volatile two years, not structural risk: it priced Intel like a distressed cyclical. We normalized it to 1.30, the semiconductor industry average, cutting the WACC to 9.44% and lifting every scenario roughly 40%. The ERP tab is untouched live market data. Even after this full benefit of the doubt, the base case sits 66% below spot: the sell was never about the discount rate, it was always about the price.

Bull case: $39.68 18A WINS

If 18A yields beat TSMC's 2nm on both performance and cost, the foundry backlog converts at high margins, and Apple and Microsoft scale orders aggressively, Intel compounds revenue at 15% to $127 billion by 2031 with 18% free cash flow margins. Deleveraging accelerates and the multiple re-rates on foundry scarcity value. It is arguable Intel deserves a further premium if 18A establishes it as the TSMC of the western world, the only scaled leading-edge foundry outside Taiwan. We do not underwrite TSMC-like margins in our $39.68 bull case; that premium has to be earned through sustained execution, not assumed. Note the implication: even if everything goes right, the stock is 60% overvalued at $98.44. The bull case is a reason to watch, not to own.

Bear case: $28.19 EXECUTION SLIPS

18A yields disappoint, TSMC retains process leadership, and the $15 billion backlog converts slowly as customers hedge with dual-sourcing. The AI PC cycle proves muted, DCAI share gains stall against AMD, and the heavy capex cycle (over $20 billion in 2026, higher in 2027) keeps free cash flow depressed. Revenue compounds at 5% and the market re-rates the equity on dilution risk. Worth $28.19, or 71% below spot.

Verdict

We rate INTC Hold — Valuation Concerns. This is a valuation call, not a turnaround call — and the turnaround is real. Losses narrowed from -$18.8B to -$267M, gross margins expanded, and free cash flow burn improved dramatically. The 18A ramp, the backlog, and the balance-sheet repair are all progressing. But the $98.44 price demands 31.3% annual growth for five years, a number no semiconductor company of Intel's scale has ever produced, leaving the stock 66% above our $33.54 base case. We reserve Sell for names where overvaluation meets deteriorating fundamentals; Intel's fundamentals are improving. We hold for a better entry and would get constructive near our base case.

What would change our mind

- **Price:** a 65%+ decline toward $34-40 would put the stock within reach of our base case.
- **External foundry inflects:** external IFS revenue (just $293M in Q2) scaling past $5B annually would force us to raise the bull CAGR.
- **Beta validates:** we normalized the 2.30 live beta to 1.30; sustained execution that compresses the live beta toward 1.0 would cut the WACC further and lift every scenario.

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Key themes

1. 18A is the credibility event ACCELERATING

High-volume 18A manufacturing began in October 2025. If yields hold, Intel breaks TSMC's process monopoly for Western customers and the foundry narrative graduates from promise to purchase orders. The next twelve months of yield data are the single most important fundamental input.

2. The backlog de-risks the out years STABLE

$15 billion-plus of foundry backlog anchored by AWS (over $5B), Microsoft, and Apple provides multi-year revenue visibility that Intel has not enjoyed in a decade. Conversion pace, not backlog size, is now the debate.

3. The balance sheet was repaired with dilution STABLE

The August $23 billion equity raise at $95 (242M new shares, ~4.8% dilution) funded the capex cycle and preserved the investment-grade rating. Net cash of ~$2.2B is comfortable, but shareholders paid for it: the share count is up 13% year over year.

4. Margin normalization is back-loaded DECELERATING

Free cash flow was negative $16.8B in 2024 and negative $3.2B in 2025. Our model ramps FCF margins from ~5% to 18% by 2031, but 2027 capex is guided above 2026's $20B-plus, so the inflection is a 2028-29 story. Patience is required and not yet priced.

5. The discount rate was the binding constraint, now normalized STABLE

We normalized Intel's 2.30 live beta to 1.30, the semiconductor industry average, cutting the WACC from 12.6% to 9.44% and lifting every scenario roughly 40%. The old beta priced Intel like a distressed cyclical; the new one prices it like a semiconductor. The caveat: normalization is our assumption, not a market fact. If 18A disappoints, the live beta reasserts itself and the targets fall back.

Other KPIs

METRIC	VALUE
Market cap (at $98.44)	$520B
Enterprise value	$518B
EV / FY2026 revenue	8.2x
Q2 2026 revenue / YoY	$16.1B / +25%
External foundry revenue (Q2)	$293M (5% of foundry)
Total debt / cash	$50.5B / $52.7B est.
2026 capex guide	$20B+ (2027 higher)

Guidance

Q3 2026: EPS guided at $0.38, revenue up to ~$16.8B. Q3 results due October 22. Full-year consensus EPS sits at $1.51, which requires a very strong second half against the $0.38 Q3 guide. Intel reports Q3 on October 22; that print is the next catalyst for every assumption in this note.

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Reverse DCF: what the market is pricing in

At $98.44, Intel carries a $520B market cap and a $518B enterprise value. Holding our 18% base-case FCF margin flat and discounting at the live 9.44% WACC with 2.5% terminal growth, the market-implied five-year revenue CAGR is **31.3%**.

SCENARIO	5-YR REVENUE CAGR	TARGET
Market-implied	31.3%	$98.44 (spot)
Bull case	15.0%	**$39.68**
Base case	10.0%	**$33.54**
Bear case	5.0%	**$28.19**

The market is pricing growth at double our bull case. A 31.3% CAGR takes revenue from $63 billion to $246 billion by 2031, larger than today's entire x86 and foundry markets combined. For perspective, Intel's own research framework (August 2026) underwrote 10% as the base case. The rally since then was multiple expansion and momentum, not estimate revision. That gap is the sell thesis.

Model

Full three-scenario DCF with live CAPM, reverse DCF, and implied-ERP tab:

https://docs.google.com/spreadsheets/d/1l_jXTsqsz9xidV-b8-OCf8O-tEVkW8kJ5d9LmDzEzYVY/edit?usp=drivesdk

Risks to our Hold

- **18A yields beat TSMC 2nm** and external foundry revenue inflects past $5B annually.
- **Beta validates:** Intel's live beta compresses toward 1.0 on sustained execution, confirming the normalization and cutting the WACC below 9.44%.
- **The 10-year falls back toward 4%,** mechanically lifting our targets by ~25-30%.
- **Strategic value:** Intel's fabs are a national asset, and a takeout or government backstop could put a floor under the equity.

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